Type MS · Why partners get interest, salaries and loan interest

Answer 1 of 7 · Question 2 part f.i · 3 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part f.i in this mark scheme extract

2(a)	**Award mark as indicated.** **Advantages Max (1)** Additional capital **(1)** More expertise **(1)** Shared work load **(1)** **Disadvantages Max (1)** Shared profits **(1)** Disputes **(1)** Lack of control **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark

2(b) **Award marks as indicated.**

Able and Beena
Appropriation account for the year ended 30 April 2021

	$	$
Profit for the year		26 550 **(1)**
Add interest on drawings		
Able	1 600 **(1)**	
Beena	1 050 **(1)**	2 650
		29 200
Less interest on capital		
Able	(6 000) **(1)**	
Beena	(2 000) **(1)**	(8000)
Less Salary- Beena		(7 200) **(1)**
Profit available for distribution		14 000
Profit share		
Able		10 500 (**1of**)
Beena		3 500 **(1of)**

(8)

Type MS · Why partners get interest, salaries and loan interest

Answer 1 of 7 · Question 2 part f.i · 3 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part f.i in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks for each correct date detail and amount in combination**	(6)

Current Account - Beena

Date	Details	Amount $	Date	Details	Amount $
1 May 2020	Balance b/d	2 750	30 April 2021	Appropriation/ interest on capital	2 000 **(1of)**
30 April 2021	Drawings	10 500 **(1)**		Appropriation/ salary	7 200 **(1)**
	Appropriation/ interest on drawings	1 050 **(1of)**		Appropriation/ Profit share	3 500 **(1of)**
				Balance c/d	1 600
		14 300			14 300
1 May 2021	Balance b/d	1 600 **(1of)**			

Question number	Answer	Mark
2(d)	**Award mark as indicated** Partner may have taken more money than allowed. **Accept any other appropriate responses**	**(1)**

Question number	Answer	Mark
2(e)	**Award marks as indicated**	**(3)**

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.	✓ **(1)**		
A partner purchases stationery for the business from their own monies.		✓ **(1)**	
A partner introduces capital into the business			✓ **(1)**

Type MS · Why partners get interest, salaries and loan interest

Answer 1 of 7 · Question 2 part f.i · 3 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part f.i in this mark scheme extract

Question number	Answer	Mark
2(f) (i)	**Award 1 mark for each valid point up to a max of 3 marks.** **Sample answer** Interest on drawings will discourage excessive drawings **(1)** which will improve cash flow **(1)** and improve the liquidity of the business **(1)** **Accept any other appropriate responses**	**(3)**

Question number	Answer	Mark
2(f) (ii)	**Award 1 mark for each valid point up to a max of 2 marks.** **Sample answer** Interest on capital acts as a form of compensation to the partner who has invested more **(1)** and therefore encourages partners to invest in the business **(1)** **Accept any other appropriate responses**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Why partners get interest, salaries and loan interest

Answer 2 of 7 · Question 2 part f.ii · 2 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part f.ii in this mark scheme extract

2(a)	**Award mark as indicated.** **Advantages Max (1)** Additional capital **(1)** More expertise **(1)** Shared work load **(1)** **Disadvantages Max (1)** Shared profits **(1)** Disputes **(1)** Lack of control **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark

2(b) **Award marks as indicated.**

Able and Beena
Appropriation account for the year ended 30 April 2021

	$	$
Profit for the year		26 550 **(1)**
Add interest on drawings		
Able	1 600 **(1)**	
Beena	1 050 **(1)**	2 650
		29 200
Less interest on capital		
Able	(6 000) **(1)**	
Beena	(2 000) **(1)**	(8000)
Less Salary- Beena		(7 200) **(1)**
Profit available for distribution		14 000
Profit share		
Able		10 500 (**1of**)
Beena		3 500 **(1of)**

(8)

Type MS · Why partners get interest, salaries and loan interest

Answer 2 of 7 · Question 2 part f.ii · 2 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part f.ii in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks for each correct date detail and amount in combination**	(6)

Current Account - Beena

Date	Details	Amount $	Date	Details	Amount $
1 May 2020	Balance b/d	2 750	30 April 2021	Appropriation/ interest on capital	2 000 **(1of)**
30 April 2021	Drawings	10 500 **(1)**		Appropriation/ salary	7 200 **(1)**
	Appropriation/ interest on drawings	1 050 **(1of)**		Appropriation/ Profit share	3 500 **(1of)**
				Balance c/d	1 600
		14 300			14 300
1 May 2021	Balance b/d	1 600 **(1of)**			

Question number	Answer	Mark
2(d)	**Award mark as indicated** Partner may have taken more money than allowed. **Accept any other appropriate responses**	**(1)**

Question number	Answer	Mark
2(e)	**Award marks as indicated**	**(3)**

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.	✓ **(1)**		
A partner purchases stationery for the business from their own monies.		✓ **(1)**	
A partner introduces capital into the business			✓ **(1)**

Type MS · Why partners get interest, salaries and loan interest

Answer 2 of 7 · Question 2 part f.ii · 2 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part f.ii in this mark scheme extract

Question number	Answer	Mark
2(f) (i)	**Award 1 mark for each valid point up to a max of 3 marks.** **Sample answer** Interest on drawings will discourage excessive drawings **(1)** which will improve cash flow **(1)** and improve the liquidity of the business **(1)** **Accept any other appropriate responses**	**(3)**

Question number	Answer	Mark
2(f) (ii)	**Award 1 mark for each valid point up to a max of 2 marks.** **Sample answer** Interest on capital acts as a form of compensation to the partner who has invested more **(1)** and therefore encourages partners to invest in the business **(1)** **Accept any other appropriate responses**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Why partners get interest, salaries and loan interest

Answer 3 of 7 · Question 2 part a.i · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part a.i in this mark scheme extract

2(a)(i)	**Award mark as indicated.** To encourage partners to make additional investment in the business **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (ii)	**Award mark as indicated.** To discourage partners from making excessive drawings **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (iii)	**Award mark as indicated.** To reward partners for extra responsibility **(1)**	**(1)**

Type MS · Why partners get interest, salaries and loan interest

Answer 3 of 7 · Question 2 part a.i · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	**(8)**

Belen and Charo
Appropriation account for the year ended 31 December 2022

	$	$
Profit for the year		66 200
Interest on drawings		
Belen	1 600 **(1)**	
Charo	3 040 **(1)**	4 640
Interest on capital		
Belen	4 000 **(1)**	
Charo	4 500 **(1)**	(8 500)
Salary - Charo		(24 000) **(1)**
Profit available for distribution		38 340 **(1of)**
Share of profit		
Belen		19 170 **(1of)**
Charo		19 170 **(1of)**
		38 340

Type MS · Why partners get interest, salaries and loan interest

Answer 3 of 7 · Question 2 part a.i · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks for each correct date, detail and amount in combination.**	**(8)**

Capital Account - Charo

Date	Details	$	Date	Details	$
31 December	Balance c/d	90 000	1 January	Cash book/Bank	90 000 **(1)**
		90 000			90 000
			1 January	Balance b/d	90 000 **(1)**

Current Account - Charo

Date	Details	$	Date	Details	$
31 December	Appropriation/ Interest on drawings	3 040 **(1of)**	31 December	Appropriation/ Interest on capital	4 500 **(1of)**
	Drawings	38 000 **(1)**		Appropriation/ Salary	24 000 **(1of)**
	Balance c/d	6 630		Appropriation/ Share of profit	19 170 **(1of)**
		47 670			47 670
			1 January	Balance b/d	6 630 **(1of)**

Type MS · Why partners get interest, salaries and loan interest

Answer 3 of 7 · Question 2 part a.i · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.** The gross profit percentage is lower than budgeted **(1)** which may be due to selling prices falling/cost of sales increasing **(1).** However, the profit for the year as a percentage of revenue is higher than budgeted **(1),** which may be due to efficient control of overheads **(1).** Therefore, the partners are correct that overall profitability is better than expected **(1).** **Accept any other appropriate responses.**	**(5)**

Question Number	Answer	Mark
2(e)	**Award mark as indicated.** Return on capital employed **(1)**	**(1)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Why partners get interest, salaries and loan interest

Answer 4 of 7 · Question 2 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part a.ii in this mark scheme extract

2(a)(i)	**Award mark as indicated.** To encourage partners to make additional investment in the business **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (ii)	**Award mark as indicated.** To discourage partners from making excessive drawings **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (iii)	**Award mark as indicated.** To reward partners for extra responsibility **(1)**	**(1)**

Type MS · Why partners get interest, salaries and loan interest

Answer 4 of 7 · Question 2 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.** **Belen and Charo** **Appropriation account for the year ended 31 December 2022**	**(8)**

	$	$
Profit for the year		66 200
Interest on drawings		
Belen	1 600 **(1)**	
Charo	3 040 **(1)**	4 640
Interest on capital		
Belen	4 000 **(1)**	
Charo	4 500 **(1)**	(8 500)
Salary - Charo		(24 000) **(1)**
Profit available for distribution		38 340 **(1of)**
Share of profit		
Belen		19 170 **(1of)**
Charo		19 170 **(1of)**
		38 340

Type MS · Why partners get interest, salaries and loan interest

Answer 4 of 7 · Question 2 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks for each correct date, detail and amount in combination.**	**(8)**

Capital Account - Charo

Date	Details	$	Date	Details	$
31 December	Balance c/d	90 000	1 January	Cash book/Bank	90 000 **(1)**
		90 000			90 000
			1 January	Balance b/d	90 000 **(1)**

Current Account - Charo

Date	Details	$	Date	Details	$
31 December	Appropriation/ Interest on drawings	3 040 **(1of)**	31 December	Appropriation/ Interest on capital	4 500 **(1of)**
	Drawings	38 000 **(1)**		Appropriation/ Salary	24 000 **(1of)**
	Balance c/d	6 630		Appropriation/ Share of profit	19 170 **(1of)**
		47 670			47 670
			1 January	Balance b/d	6 630 **(1of)**

Type MS · Why partners get interest, salaries and loan interest

Answer 4 of 7 · Question 2 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.** The gross profit percentage is lower than budgeted **(1)** which may be due to selling prices falling/cost of sales increasing **(1).** However, the profit for the year as a percentage of revenue is higher than budgeted **(1),** which may be due to efficient control of overheads **(1).** Therefore, the partners are correct that overall profitability is better than expected **(1).** **Accept any other appropriate responses.**	**(5)**

Question Number	Answer	Mark
2(e)	**Award mark as indicated.** Return on capital employed **(1)**	**(1)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Why partners get interest, salaries and loan interest

Answer 5 of 7 · Question 2 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part a.iii in this mark scheme extract

2(a)(i)	**Award mark as indicated.** To encourage partners to make additional investment in the business **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (ii)	**Award mark as indicated.** To discourage partners from making excessive drawings **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (iii)	**Award mark as indicated.** To reward partners for extra responsibility **(1)**	**(1)**

Type MS · Why partners get interest, salaries and loan interest

Answer 5 of 7 · Question 2 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	**(8)**

Belen and Charo
Appropriation account for the year ended 31 December 2022

	$	$
Profit for the year		66 200
Interest on drawings		
Belen	1 600 **(1)**	
Charo	3 040 **(1)**	4 640
Interest on capital		
Belen	4 000 **(1)**	
Charo	4 500 **(1)**	(8 500)
Salary - Charo		(24 000) **(1)**
Profit available for distribution		38 340 **(1of)**
Share of profit		
Belen		19 170 **(1of)**
Charo		19 170 **(1of)**
		38 340

Type MS · Why partners get interest, salaries and loan interest

Answer 5 of 7 · Question 2 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks for each correct date, detail and amount in combination.**	**(8)**

Capital Account - Charo

Date	Details	$	Date	Details	$
31 December	Balance c/d	90 000	1 January	Cash book/Bank	90 000 **(1)**
		90 000			90 000
			1 January	Balance b/d	90 000 **(1)**

Current Account - Charo

Date	Details	$	Date	Details	$
31 December	Appropriation/ Interest on drawings	3 040 **(1of)**	31 December	Appropriation/ Interest on capital	4 500 **(1of)**
	Drawings	38 000 **(1)**		Appropriation/ Salary	24 000 **(1of)**
	Balance c/d	6 630		Appropriation/ Share of profit	19 170 **(1of)**
		47 670			47 670
			1 January	Balance b/d	6 630 **(1of)**

Type MS · Why partners get interest, salaries and loan interest

Answer 5 of 7 · Question 2 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.** The gross profit percentage is lower than budgeted **(1)** which may be due to selling prices falling/cost of sales increasing **(1).** However, the profit for the year as a percentage of revenue is higher than budgeted **(1),** which may be due to efficient control of overheads **(1).** Therefore, the partners are correct that overall profitability is better than expected **(1).** **Accept any other appropriate responses.**	**(5)**

Question Number	Answer	Mark
2(e)	**Award mark as indicated.** Return on capital employed **(1)**	**(1)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Why partners get interest, salaries and loan interest

Answer 6 of 7 · Question 2 part b · 2 marks

2023 JUN · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

Number		
2(a)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** A Partnership agreement provides written evidence **(1)** to avoid conflict **(1)** and includes terms for the management of the partnership/details of share of profits/interest on drawings etc. **(1)** **Accept any other appropriate responses**	**(3)**

Question Number	Answer	Mark
2(b)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** A partner may decide to provide a loan to the partnership as a loan is repayable **(1)** will provide a guaranteed annual income. **(1)** **Accept any other appropriate responses**	**(2)**

Type MS · Why partners get interest, salaries and loan interest

Answer 6 of 7 · Question 2 part b · 2 marks

2023 JUN · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks as indicated.**	**(12)**

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		56 800
Salary adjustment		17 000 **(1)**
Drawings – Joan		1 000 **(1)**
Loan interest		(600) **(1)**
Adjusted profit for the year		74 200 **(1)**
Interest on drawings		
Joan	300 **(1)**	
Lewis	350 **(1)**	
		650
		74 850
Interest on capital		
Joan	6 800 **(1)**	
Lewis	6 000 **(1)**	(12 800)
Salary - Lewis		(17 000) **(1)**
Profit available for distribution		45 050 **(1of)**
Share of profit		
Joan		22 525 **(1of)**
Lewis		22 525 **(1of)**
		45 050

Type MS · Why partners get interest, salaries and loan interest

Answer 6 of 7 · Question 2 part b · 2 marks

2023 JUN · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award marks for correct date, details and amount in combination.**	**(8)**

Current Account - Lewis

Date	Details	$	Date	Details	$
31 Dec	Drawings	7 000 **(1)**	1 Jan	Balance b/d	3 900 **(1)**
	Interest on drawings	350 **(1)**	31 Dec	Interest on capital	6 000 **(1)**
	Balance c/d	42 675		Salary	17 000 **(1)**
				Loan interest	600 **(1)**
				Share of profit	22 525 **(1of)**
		50 025			50 025
			1 Jan	Balance b/d	42 675 **(1of)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Why partners get interest, salaries and loan interest

Answer 7 of 7 · Question 2 part e · 6 marks

2019 JUN · Paper 02 · extract 1 of 4 · find part e in this mark scheme extract

2(a)	**Award marks as indicated.** **Scenario** / **Accounting concept** Adjusting expenses for other receivables — Accruals **(1)** Creating an allowance for doubtful debts — Prudence **(1)** Recording goods taken for personal use — Business entity **(1)**	**(3)**

Question number	Answer	Mark
2(b)(i)	**Award mark as indicated** Profitability is the ability to generate profits from the activities of the business **(1).**	**(1)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated** Liquidity is the ability of a business to pay off its liabilities **(1).**	**(1)**

Question number	Answer	Mark

Type MS · Why partners get interest, salaries and loan interest

Answer 7 of 7 · Question 2 part e · 6 marks

2019 JUN · Paper 02 · extract 2 of 4 · find part e in this mark scheme extract

2(c)	**Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.** **Sample answer** Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**. Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**. Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**. Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**. Overall profitability and liquidity of the business has improved **(1)**	**(5)**

Type MS · Why partners get interest, salaries and loan interest

Answer 7 of 7 · Question 2 part e · 6 marks

2019 JUN · Paper 02 · extract 3 of 4 · find part e in this mark scheme extract

Question number	Indicative content	Mark
2(e)	• Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss. • Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business. • Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position. The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate.	(6)

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1 - 2	Some understanding of the accounting principles demonstrated but explanation has not been developed adequately.
Level 2	3 - 4	Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response.
Level 3	5 - 6	Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response.

Type MS · Why partners get interest, salaries and loan interest

Answer 7 of 7 · Question 2 part e · 6 marks

2019 JUN · Paper 02 · extract 4 of 4 · find part e in this mark scheme extract

Question number	Answer	Mark
2(f)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**. A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**. If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**. If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**. Any supported decision **(1)**.	**(5)**

(TOTAL FOR QUESTION 2 = 25 marks)